1.1 Intro to Economics

Video: Intro to Economics (Crash Course Economics)

What Is Economics?

Economics is not the study of money or getting rich, and it is not the study of the _____.

Economics is the study of _____.

An 18-year-old deciding whether to work or go to _____.
A company deciding whether to produce smartphones or tablets.
The government deciding whether to increase its spending during a _____.

Opportunity Cost

You chose to watch this video, so you must feel the benefit outweighs the cost.

The cost of watching this video is the value of the _____. Economists call this your _____.

The Two Most Important Assumptions

Assumption	What it means
1. _____	People have _____ but limited resources.
2. Everything has a cost	Every choice gives something up, so we must analyze our choices.

Individuals, businesses, and countries can't have everything, so they must weigh the benefits and costs of their decisions and make choices.

Guns or butter: should a country focus on _____ or consumer goods? The opportunity cost of aircraft carriers could be hospitals, schools, and roads.

Incentives

Economists adjust theories using data and an understanding of incentives. Having the right _____ is key.

Some states now reward colleges for the number of students who complete courses or earn degrees, instead of the number who enroll.

Incentives can _____ if they are poorly designed.

Example: In Vietnam under French rule, people were paid for rat _____.
Rat-catchers cut off tails and released the rats, so the policy actually increased the rat population.

Economists call incentives that make things worse _____.

Macroeconomics vs. Microeconomics

	Macroeconomics	Microeconomics
Studies	The economy _____	Individual decisions of people and businesses
Topics / questions	Output, _____, interest rates, government spending, growth	How many workers should we hire to maximize profit?
Biology comparison		

Think About It

Describe a choice you made this week. What was your opportunity cost (your next best alternative)? _____